

SiyaBusa ERP

Seed to AltX: Practical Funding Guide

From R2 Million Seed Round to JSE AltX Listing

Masaphokati Technologies (Pty) Ltd

Document Version: 1.0

Effective Date: January 2026

Current Stage: Pre-Revenue / Product Complete

Classification: Confidential - Founders Only

WE RULE. WE GOVERN. WE EMPOWER.

Your Current Reality

WHERE YOU ARE TODAY

Masaphokati Technologies is a newly registered Pty Ltd with a fully developed ERP product (SiyaBusa ERP). You have intellectual property but no revenue yet, no transactions, and no audited financials. This guide shows you exactly how to structure your R2 million seed round to position for AltX listing.

Current Status Assessment

Asset	Status	Value Indicator
Company Registration	✓ Pty Ltd registered	Legal entity exists
Product Development	✓ Complete	IP created - significant value
Revenue	✗ None yet	Pre-revenue stage
Customers	✗ None yet	Pre-customer stage
Transactions	✗ None yet	No audit needed yet
Bank Account	⚠ Verify	Must have business account
Team	Founder(s)	Key person value



Key Insight: You Don't Need Auditors Yet

With no transactions, there's nothing to audit. You only need auditors once you have:

- Revenue coming in
- Expenses being paid
- A financial year to close

Action: Appoint auditors when you close your first financial year with transactions (likely end of 2026 after seed funding is deployed).

Share Structure: How It Actually Works

The "60 Million Shares" Question

You asked: "How do I have 60 million shares when I don't have R60 million?"

✓ The Answer: Shares ≠ Cash

Share capital is about **ownership units**, not cash in the bank. Here's how it works:

How Share Creation Works

Example: Starting from Zero Your MOI (Memorandum of Incorporation) authorizes shares. Let's say: - Authorized shares: 1,000,000,000 (1 billion) - this costs nothing - Par value: R0.0001 (one hundredth of a cent) - or no par value To issue yourself 60,000,000 shares at R0.0001 par value: - Cost = 60,000,000 × R0.0001 = **R6,000** That's it. For R6,000, you own 60 million shares.

Real-World Practical Approach

Approach	How It Works	Cost
No Par Value Shares	Shares have no face value. Directors determine issue price.	R0 to issue to founders
Low Par Value	E.g., R0.001 per share. 1 million shares = R1,000	Minimal
Sweat Equity	Shares issued for services rendered (your development work)	R0 (you already "paid" with work)

Recommended Structure for Masaphokati

```
AUTHORIZED SHARE CAPITAL ===== Authorized Shares: 1,000,000,000 (1
billion) Share Type: Ordinary shares, no par value INITIAL ISSUE (Founders)
===== Shares to Founder(s): 100,000,000 (100 million) Issue Price:
R0.00 (for sweat equity / development work) Consideration: Services rendered (IP
development) This gives you 100% ownership of 100 million shares. No cash required.
```

Structuring Your R2 Million Seed Round

The Math: Pre-Money vs Post-Money Valuation

Key Terms to Understand

- **Pre-Money Valuation:** What your company is worth BEFORE new investment
- **Post-Money Valuation:** Pre-Money + New Investment
- **Dilution:** How much of your ownership % you give up

Scenario: R2 Million Seed at R10 Million Pre-Money Valuation

BEFORE INVESTMENT ===== Pre-Money Valuation: R10,000,000 Founder Shares: 100,000,000 shares (100%) Price Per Share: $R10M \div 100M = R0.10$ INVESTMENT ===== Investment Amount: R2,000,000 Price Per Share: R0.10 (same as founders) New Shares Issued: $R2M \div R0.10 = 20,000,000$ shares AFTER INVESTMENT ===== Post-Money Valuation: $R10M + R2M = R12,000,000$ Total Shares: $100M + 20M = 120,000,000$ Founder Ownership: $100M \div 120M = 83.33\%$ Investor Ownership: $20M \div 120M = 16.67\%$  You raised R2 million  You still own 83.33%  Investors own 16.67%

Alternative Valuations

Pre-Money Valuation	R2M Investment Gets	Founder Retains
R5 million	28.57%	71.43%
R8 million	20.00%	80.00%
R10 million	16.67%	83.33%
R15 million	11.76%	88.24%
R20 million	9.09%	90.91%

Justifying Your Valuation

Investors will ask: "Why is a pre-revenue company worth R10 million?"

Your Value Drivers

Value Component	Justification	Estimated Value
Developed Software (IP)	Full ERP system, 400+ API endpoints, complete modules	R3-5 million
Development Cost Avoided	Cost to build from scratch: 2-3 years, R5-10M	R5-10 million
Market Opportunity	SA ERP market size, underserved SME segment	Strategic value
Founder Expertise	Domain knowledge, vision, execution ability	Key person value
First Mover Advantage	Ready to deploy while competitors still building	Time value

✓ Reasonable Seed Valuation Range: R8-15 million

For a complete product with no revenue, R10 million pre-money is defensible. This values your development work at roughly R100,000 per year of effort (if you spent 2-3 years building).

What To Do This Week

Reality Check

You're pre-revenue with a complete product. Your immediate priority is:

1. **Get your first customer** (proves the product works)
2. **Structure for investment** (clean cap table)
3. **Raise seed funding** (R2 million target)

Everything else follows from these three things.

Step 1: Corporate Housekeeping (This Week)

- ☐ Download CIPC documents (CM1, CM2, MOI) - verify all details
- ☐ Confirm company registration is active and compliant
- ☐ Ensure you have a business bank account (separate from personal)
- ☐ Document your shareholding (who owns what %)
- ☐ Confirm your registered address is current

Step 2: Document Your IP (This Week)

- ☐ Create inventory of all software developed
- ☐ Document the modules and features completed
- ☐ Ensure all code is in company-owned repositories
- ☐ Confirm IP assignment (all work belongs to the company)
- ☐ Create screenshots/demo videos of the system

Step 3: Prepare Investment Materials (Next 2 Weeks)

- ☐ Executive Summary (2 pages)
- ☐ Pitch Deck (10-15 slides)
- ☐ Financial Model (3-year projections)
- ☐ Product Demo (video or live)

- ☐ Term Sheet Template (what you're offering)

Step 4: Start Customer Conversations (Parallel)

- ☐ Identify 5-10 potential pilot customers
- ☐ Offer free trials or heavily discounted pilots
- ☐ Get Letters of Intent (LOIs) if possible
- ☐ Collect testimonials from any beta users

Sample Term Sheet for R2 Million Seed Round

INVESTMENT TERMS

This is a template term sheet you can customize and present to potential investors.

TERM SHEET - MASAPHOKATI TECHNOLOGIES (PTY) LTD	
Company	Masaphokati Technologies (Pty) Ltd
Product	SiyaBusa ERP - Complete Enterprise Resource Planning System
Round	Seed Round
Amount Raising	R2,000,000 (Two Million Rand)
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Security Type	Ordinary Shares
Shares Offered	20,000,000 shares (16.67% of post-money)
Price Per Share	R0.10
Minimum Investment	R100,000

Use of Funds

Category	Amount	%
Sales & Marketing	R800,000	40%
Team Expansion	R600,000	30%
Operations & Infrastructure	R300,000	15%
Product Enhancement	R200,000	10%
Working Capital Reserve	R100,000	5%
Total	R2,000,000	100%

Investor Rights (Standard Seed Terms)

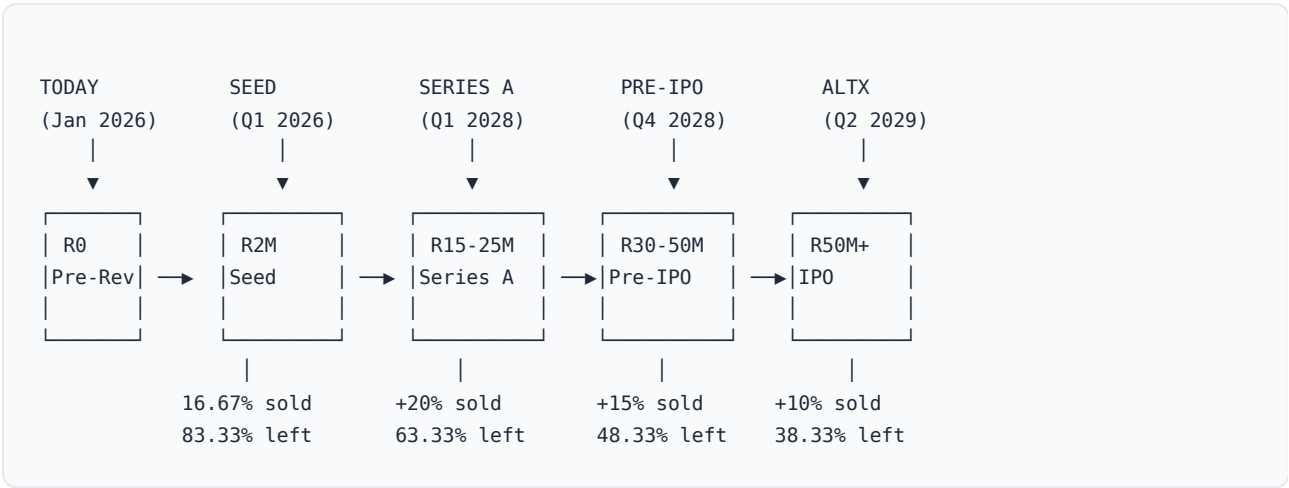
- **Information Rights:** Quarterly financial updates, annual audited statements (once audits begin)
- **Board Observer:** Investors holding 5%+ may appoint a board observer
- **Pro-Rata Rights:** Right to participate in future funding rounds
- **Anti-Dilution:** Weighted-average anti-dilution protection
- **Tag-Along:** Right to sell alongside founders in any exit

Milestones

Milestone	Target Date
First paying customer	Q1 2026
10 customers, R500K ARR	Q4 2026
50 customers, R2M ARR	Q4 2027
Series A raise (R15-25M)	Q1 2028

Path from Seed to AltX

Funding Rounds Roadmap



Cap Table Evolution

Stage	Founders	Seed	Series A	Pre-IPO	Public
Today	100%	-	-	-	-
Post-Seed	83.33%	16.67%	-	-	-
Post-Series A	66.67%	13.33%	20%	-	-
Post-Pre-IPO	56.67%	11.33%	17%	15%	-
Post-IPO (AltX)	51.00%	10.20%	15.30%	13.50%	10%

© Founder Protection Strategy

- After Seed (R2M): You still own 83.33%
- After Series A (R20M): You still own ~67%
- After Pre-IPO (R40M): You still own ~57%
- After AltX IPO: You still own ~51% (majority control)

Total Raised: R70+ million while maintaining majority control

Valuation Growth Expected

Stage	Valuation	Multiple	Justification
Seed (Today)	R10-12M	-	Product complete, pre-revenue
Series A	R75-100M	6-8x	R2M+ ARR, growth proven
Pre-IPO	R200-300M	2-3x	R10M+ ARR, market leader
AltX IPO	R400-500M	1.5-2x	Public market premium

Private Placement: Deep Dive

YOUR PREFERRED APPROACH

Private placement allows you to hand-pick your investors and build strategic relationships. Combined with a hybrid IPO approach, this builds toward AltX listing while maintaining control over your shareholder base.

What is Private Placement?

Private placement means selling shares directly to selected investors rather than through a public offering. For AltX, you need 100 shareholders—but they can all be strategically chosen.

Advantages

- **Control:** You choose who invests
- **Relationships:** Investors become strategic partners
- **Speed:** No prospectus required for private placement
- **Terms:** Negotiate directly, flexible structures
- **Less disclosure:** Private round has less regulatory burden

Hybrid Approach: Strategic Investors + Mini-IPO

Recommended Strategy

1. **Seed Round (Now):** R2M from 3-5 strategic investors
2. **Series A (2028):** R15-25M from 10-20 investors + funds
3. **Pre-IPO Placement:** R30-50M from 50-70 investors
4. **Mini-IPO at AltX:** R10-20M from 30-50 new shareholders (reach 100 minimum)

Finding Your Seed Investors (R2 Million)

Target Investor Profiles

Type	Typical Investment	What They Bring	Where to Find
Friends & Family	R50K - R200K	Trust, patience	Your network
Angel Investors	R100K - R500K	Experience, contacts	ABAN, Jozi Angels
High-Net-Worth Individuals	R200K - R1M	Capital, credibility	Introductions
Strategic Partners	R500K - R2M	Customers, distribution	Industry contacts
Early-Stage VCs	R1M - R5M	Funds, governance	SAVCA directory

Sample Seed Round Composition

Example: R2M from 5 Investors Investor A (Strategic Partner - Accounting Firm): R500,000 → 4.17% Investor B (Angel - Tech Entrepreneur): R400,000 → 3.33% Investor C (HNW Individual): R400,000 → 3.33% Investor D (Family Office): R400,000 → 3.33% Investor E (Angel Network Pool): R300,000 → 2.50%

———— Total Raised: R2,000,000 → 16.67%

Founder Retains: 83.33%

South African Angel Networks & Funds

Organization	Focus	Typical Check Size
Jozi Angels	Tech startups	R500K - R5M
Newtown Partners	Technology	R5M - R30M
Knife Capital	Growth stage	R10M - R50M
4Di Capital	Technology	R5M - R50M
Kalon Venture Partners	B2B SaaS	R2M - R20M
ABAN (African Business Angel Network)	Various	Varies
Founders Factory Africa	Technology	R2M - R10M

Documents You Need to Prepare

For R2M Seed Round (Immediate)

#	Document	Purpose	Status
1	Executive Summary	2-page overview for initial interest	⚠ Update
2	Pitch Deck	10-15 slide presentation	⚠ Create
3	Financial Model	3-year projections (Excel)	⚠ Create
4	Product Demo	Video or live walkthrough	⚠ Verify
5	Term Sheet Template	Standard terms to share	✅ Template in this doc
6	Shareholders Agreement	Legal rights & obligations	⚠ Legal help
7	Subscription Agreement	Legal doc to purchase shares	⚠ Legal help
8	Company Profile	About the company	⚠ Update

Update to Existing Investor Documents

Your existing investor documents in `/investor-docs/` need to be updated to reflect:

- **AltX listing goal** - mention the path to public listing
- **Investment terms** - what you're actually offering
- **Use of funds** - how the R2M will be deployed
- **Milestones** - what investors can expect
- **Declaration update** - "God is *the* Power"

Documents for Later Stages

For Series A (2028)

- Audited financial statements (Year 1 & 2)
- Due diligence data room
- Customer contracts and ARR breakdown

- Detailed competitive analysis
- Management team CVs
- IP documentation

For AltX Listing (2029)

- Pre-Listing Statement (PLS)
- 3 years audited financials
- Independent valuation report
- Legal due diligence report
- King IV compliance register
- Directors' declarations

Your 12-Month Action Plan

Month 1: January 2026 - Foundation

- ☐ Verify CIPC registration, download all documents
- ☐ Confirm/open business bank account
- ☐ Document all IP (code, designs, features)
- ☐ Create investor pitch deck (first draft)
- ☐ Build financial model (3-year projections)
- ☐ Identify 10 potential seed investors

Month 2: February 2026 - Outreach

- ☐ Finalize pitch deck
- ☐ Create product demo video
- ☐ Reach out to 10 potential investors
- ☐ Have 5+ investor meetings
- ☐ Identify potential pilot customers
- ☐ Get legal template for shareholders agreement

Month 3: March 2026 - Close Seed Round

- ☐ Negotiate terms with interested investors
- ☐ Finalize shareholders agreement
- ☐ Execute subscription agreements
- ☐ Receive funds into company account
- ☐ Issue share certificates
- ☐ Update CIPC with new shareholding

Months 4-6: Q2 2026 - Deploy & Grow

- ☐ Hire first sales person
- ☐ Launch marketing campaigns
- ☐ Sign first 3-5 paying customers
- ☐ Set up proper accounting (Xero/QuickBooks)
- ☐ Begin tracking monthly financials

- ☐ Appoint auditors (for year-end)

Months 7-9: Q3 2026 - Scale

- ☐ Reach 10+ customers
- ☐ Achieve R50K+ MRR
- ☐ Hire additional team members
- ☐ Implement customer success process
- ☐ Begin Series A preparation
- ☐ Research Designated Advisers

Months 10-12: Q4 2026 - First Year End

- ☐ Close first financial year
- ☐ Complete first audit
- ☐ Reach 20+ customers, R100K+ MRR
- ☐ Prepare year-end investor report
- ☐ Begin Series A roadshow prep
- ☐ Appoint first non-executive advisor

Summary: From Today to AltX

YOUR JOURNEY: 2026 → 2029

2026 Q1 → Raise R2M Seed from 3-5 strategic investors

2026 Q2-Q4 → Deploy capital, get first 20 customers

2026 Q4 → First audit (once you have transactions)

2027 Q1-Q2 → Scale to 50+ customers, R2M+ ARR

2027 Q3-Q4 → Prepare for Series A

2028 Q1 → Raise Series A (R15-25M) from 10-20 investors

2028 Q2-Q4 → Scale aggressively, hit R10M ARR

2028 Q4 → 3rd year audit complete, AltX prep begins

2029 Q1 → Appoint Designated Adviser

2029 Q2 → Pre-Listing Statement, private placement to reach 100 shareholders

2029 Q3 → JSE review and approval

2029 Q4 → 🚨 ALT X LISTING DAY 🚨

Key Numbers:

- Total raised: R50-80 million
- Founder ownership at listing: ~50%
- ARR at listing: R15-25 million
- Valuation at listing: R300-500 million

The Journey Begins Today

From R0 to JSE-Listed. One investor at a time. One customer at a time.

"God is the Power. I am the Vision. We are the Team."

THIS IS HOW WE TAKE OVER.